India was then under British rule, and the first Governor, Sir Osborne Smith, was an Australian. But the RBI was certainly not a British institution, and has been working right from the outset for Indian economic interests. It has also nurtured Indian talent. In 1943, Chintaman Dwarkanath Deshmukh, one of our finest financial minds, was appointed as the first Indian governor of the Reserve Bank. Not only did he represent India at the Bretton Woods conference, he also went on to become one of its longest serving finance ministers. Amongst the problems he had to confront was how to deal respectfully but firmly with the debts the colonial power had accumulated to India during World War II.

Over the years, the Reserve Bank has been blessed with a number of such fine leaders, a reflection also of the importance the government places in having a strong central bank. The list of past governors and deputy governors reads like a who's who of the Indian economic establishment, with governors like Benegal Rama Rau, M. Narasimham, Dr I.G. Patel, Dr Manmohan Singh, Dr C. Rangarajan, Dr Bimal Jalan, Dr Y.V. Reddy, and Dr D. Subbarao, ably assisted by Deputy Governors such as S.S. Tarapore, Vepa Kamesan, Dr Rakesh Mohan, Shyamala Gopinath, Usha Thorat, and Dr Subir Gokarn. The RBI's board has also been superb, with people like Sir Purshottamdas Thakurdas and Yezdi Malegam guiding it.

Interestingly, many of the governors were from the administrative services, with only one, M. Narasimham, from the RBI itself. Nevertheless, all understood that the Reserve Bank's role is to safeguard the monetary and financial stability of the country even while working towards its financial development. There has always been a healthy dialogue between the government and the Bank, informed by their respective time horizons and attitudes towards risk.